

HOUSE BILL 1540

By Jones R

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 6, relative to sales and use tax
exemptions for educators.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 67, Chapter 6, Part 3, is amended by
adding the following as a new section:

(a) There is exempt from the tax imposed by this chapter the sale of the
following items of tangible personal property, if the materials are sold to a teacher
employed in this state by a local education agency (LEA) or public charter school:

(1) School supplies with a sales price of one hundred dollars (\$100) or
less per item;

(2) School art supplies with a sales price of one hundred dollars (\$100)
or less per item; and

(3) School instructional materials with a sales price of one hundred
dollars (\$100) or less per item.

(b) The exemption provided in subsection (a) does not include:

(1) Clothing;

(2) Computers;

(3) Computer software;

(4) Video game consoles;

(5) Any item for personal use outside the classroom; or

(6) Any item for use in a trade or business.

(c) Each retailer making exempt sales under this section shall report the amount of such sales to the commissioner of revenue on the retailer's sales and use tax returns.

(d) The exemption provided in this section is subject to the following:

(1) A discount by the retailer reduces the sales price of the property and the discounted sales price determines whether the sales price is within a price threshold described under subsection (a). A coupon that reduces the sales price is treated as a discount if the retailer is not reimbursed for the coupon amount by a third party. If a discount applies to the total amount paid by a purchaser, rather than to the sales price of a particular item, and the purchaser has purchased both eligible property and taxable property, then the retailer must allocate the discount based on the total sales price of the taxable property compared to the total sales price of all property sold in that same transaction; and

(2) Items that are normally sold as a single unit must continue to be sold in that manner. Such articles cannot be priced separately and sold as individual items in order to obtain the exemption.

(e)

(1) A teacher employed by a local education agency (LEA) or public charter school who is seeking the exemption provided under this section must submit an application for exemption to the commissioner of revenue, providing proof of employment in this state as a teacher by a local education agency or public charter school. The application must be submitted on forms prescribed by the commissioner.

(2) If the exemption is approved by the commissioner, then the department of revenue shall issue a sales and use tax exemption certificate to

the applicant that declares that the applicant is a teacher entitled to the exemption provided by this section.

(3) A teacher who has obtained an exemption certificate issued by the department shall provide a retailer with a copy of the certificate of exemption, which must include the exemption account number included on the certificate issued by the commissioner. The retailer shall maintain a copy of such exemption in the retailer's records to document that the purchaser was entitled to the exemption.

(f) For purposes of this section, "teacher":

(1) Means an individual who holds a license to teach issued by the state board of education and who spends fifty percent (50%) or more of the individual's time on the job instructing students in class, or through other instructional methods such as online instruction; and

(2) Does not include licensed individuals, including licensed support personnel, administrators, or supervisors, if the licensed individual spends less than fifty percent (50%) of the individual's time on the job instructing students.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it.